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**Morning Note**
**Tuesday, November 3, 2026**
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*Tone: Mixed / Risk-Off*

**Election Day opens with oil off the boil and the AI trade cracking at the funding layer.** Brent settled at $104.65/bbl Monday after a drop of more than 7% as Iran authorized further Qatar-mediated talks with Washington and Gulf producers reportedly resumed exports near prewar rates, and it is bouncing 1.7% to $106.58 this morning. The relief in energy did not reach tech: the Nasdaq 100 fell 1.39% to 27,989.82 Monday and is down 4.38% over the past week, while the Dow gained 0.41% on rotation. Overnight the chip selloff moved to Seoul, where the Kospi fell 3.59% and foreigners sold a net 1.52 trillion won. The common thread is how Big Tech pays for AI: Oracle plans $10 billion each of stock and bonds, Meta is reportedly weighing $20 billion of bonds and Alphabet is selling a 6 billion euro deal. Credit is starting to notice, with IG OAS at 94bp and HY OAS at 344bp, wider by 10bp and 32bp over the past month. Polls close tonight with Democrats favored for the House and prediction markets near 75% for a Democratic Senate. JOLTS at 10:00 AM ET and AMD after the close are the data points before the results.

## OVERNIGHT MACRO

- **Asia:** Tokyo closed for Culture Day. Kospi -3.59% to 5,648.79, with Samsung Electronics -4.15% and SK hynix -5.03% on AI funding worries; foreigners net sold 1.52 trillion won. Taiex -3.8%. Hang Seng +0.6% to 23,525.97, Shanghai Composite -0.8% to 3,608.10, near its lowest in more than a year. ASX 200 +0.3% to 8,880.50 as the RBA hiked 25bp to 4.85%, an 18 year high, on a 6 to 3 vote.
- **Europe:** Lower at the open: DAX -0.9% to 25,760.67, CAC 40 -0.4% to 8,007.84, FTSE 100 -0.3% to 10,726.55. That follows a Monday where the Stoxx 600 gained 0.4% to 649.44, its highest close since September 8.
- **FX:** DXY closed Monday at 101.81, -0.07%. EUR/USD up to 1.1202 from 1.1188 and USD/JPY at 157.86 from 157.95. The PBOC raised the FX reserve requirement ratio to 6% from 4% to lean against yuan strength.
- **Commodities:** Brent +1.7% to $106.58 and WTI +1.5% to $97.88 this morning after Monday's drop of more than 7%, WTI's biggest one day fall in more than three months. U.S. forces reportedly carried out limited defensive strikes on Iran's Qeshm Island, but Trump ruled out resuming strikes after the midterms. Gold closed at $3,961.40, +1.6%, but met selling near $3,970.
- **U.S. Futures:** S&P futures -0.3% and Dow futures -0.6%, Nasdaq 100 futures just above flat. Apple fell 2.8% after hours Monday despite a Q4 beat, on a China revenue miss and gross margin pressure from memory costs. Palantir fell almost 3% despite beating and raising its outlook. Monday close: S&P 500 -0.51% to 7,541.40, Nasdaq Composite -1.07% to 25,164.36, Dow +0.41% to 51,983.98.

## RATES & CREDIT SNAPSHOT

| Instrument | Level | Move | Note |
|---|---|---|---|
| 2Y Treasury | 4.56% | -5bp | Friday close (FRED). Down 32bp over the past month. |
| 10Y Treasury | 4.94% | -4bp | Friday close (FRED). Trading near 4.91% this morning. |
| 30Y Treasury | 5.31% | -1bp | Friday close (FRED). Down 33bp over the past month. |
| 2s10s | 32bp | -6bp | Monday print. Flattening; 2Y near 4.60% this morning on hike pricing. |
| 10Y Breakeven | 2.29% | -5bp | Monday print, tracking the oil drop. |

The curve has rallied hard since the end of September, with the 10Y down 35bp and the 2Y down 32bp in a month, even as futures price a December hike. That combination says the market sees the Fed finishing the job quickly rather than embarking on a long cycle. Monday's oil drop took 5bp out of 10Y breakevens to 2.29%, which helps the inflation side. MOVE sits at 100.4 versus a VIX of 21.15, so rates vol is calmer than equity vol for now. Treasury's quarterly refunding on Wednesday is the next supply test, and it lands into heavy corporate AI issuance.

| Meeting | Current Range | Market-Implied | Note |
|---|---|---|---|
| FOMC, Dec 8 to 9 | 3.75 to 4.00% | 76.3% hike | Per CME futures as of Monday morning. Oct 28 hold was 10 to 2, with Cook and Hammack voting for a hike. |

**Credit:** IG OAS at 94bp, +5bp Friday and +10bp over the month. HY OAS at 344bp, +18bp Friday and +32bp over the month (Friday close, FRED). The widening lines up with the AI funding wave: Oracle, Meta and Alphabet are all tapping or weighing the bond market at once.

## COMMODITIES & SECTOR TABLES

| Commodity | Level | Chg | Note |
|---|---|---|---|
| Brent Crude | $104.65/bbl | -7.6% | Monday settle on Iran talks; +1.7% to $106.58 this morning |
| WTI Crude | $96.53/bbl | -7.3% | Biggest one day drop in over three months; $97.88 this morning |
| Gold | $3,961.40/oz | +1.6% | Rebounded Monday, capped near $3,970 |
| Copper | $6.52/lb | +1.0% | Firm despite the risk off tone in tech |
| Nat Gas | $2.87/MMBtu | -0.8% | European gas futures fell almost 9% Monday |

Monday was a clean rotation day: the Nasdaq 100 fell 1.39% while the Dow rose 0.41% and the Russell 2000 slipped only 0.21%. The damage sat in AI infrastructure, led by optical and networking names after Marvell agreed to buy Lumentum in a $115 billion all stock deal. That follows Friday's 4.89% drop in XLK, and the Nasdaq 100 is now in correction territory.

| Sector / Name | Chg | Read |
|---|---|---|
| Lumentum / Marvell | -18.6% / -12.7% | $115bn all stock deal, both sold |
| Ciena | -11.3% | Optical networking hit in sympathy |
| Oracle | -8.8% | $10bn stock plus $10bn bonds for AI buildout |
| Intel | -8.8% | Chip rout extending after Q4 outlook miss |
| IDEXX Laboratories | +21.8% | Standout gainer Monday |
| Apple (after hours) | -2.8% | Q4 beat, China revenue miss, margin guide |

## EQUITY SETUP

Futures are modestly lower with the same split as Monday: Dow futures -0.6%, S&P -0.3%, Nasdaq 100 roughly flat after the 1.39% drop. Apple's 2.8% slide after hours weighs on the open, and Seoul's 3.59% fall in Samsung and SK hynix keeps memory and semis under pressure. VIX at 21.15, up 1.73 Monday and 15% over the past week, says the market is paying up for protection into the results.

AMD after the close is the single most important print for the AI complex this week, landing straight into a debate that has shifted from demand to financing. Lower oil is a real offset for consumers and inflation, and the ISM manufacturing gain to 55.5 from 54.5 Monday says the economy is not the problem. Any election surprise reprices policy names tonight, but the bigger risk for the index remains how much new paper Big Tech needs to sell.

## ONE THEME

**AI has become a credit story.** For most of this year the AI trade was an equity story about demand. This week it is a balance sheet story about funding. Oracle plans $10 billion of stock and $10 billion of bonds, Meta is reportedly weighing $20 billion of bonds, Alphabet is pursuing a 6 billion euro deal and Anthropic has disclosed $895 billion of spending commitments. Equity has priced it first, with the Nasdaq 100 down 4.38% over the past week and the Kospi down 3.59% overnight. Credit is now following: IG OAS is 10bp wider in a month at 94bp and HY 32bp wider at 344bp, even with oil falling and Treasuries rallying. When spreads widen while yields fall, the market is charging for supply and leverage, not for growth. Watch IG new issue concessions and the size of Wednesday's refunding, because heavy corporate and Treasury supply in the same week is where this tightens financial conditions without the Fed lifting a finger.

## EVENTS TO WATCH

- **10:00 AM ET JOLTS (Sep):** Job openings seen at 7.1 million vs 7.09 million prior; quits 3.09 million expected vs 3.06 million.
- **10:00 AM ET Factory Orders (Sep):** Consensus +1.1% vs +0.1% prior.
- **After the close AMD earnings:** The key AI print of the week, into a 4.38% drop over the past week in the Nasdaq 100. Pfizer, Shopify, Amgen, Arista Networks, Eaton, Marathon Petroleum and Apollo also report today.
- **Tonight Midterm results:** Democrats favored for the House; prediction markets near 75% for a Democratic Senate. Policy read across for pharma, housing and AI data centers.
- **Rest of week:** Treasury quarterly refunding Wednesday. BoE decision Thursday, expected to hike. Hammack speaks Thursday at 8:50 AM ET, Bowman Friday at 12:15 PM ET. October payrolls Friday.
- **Key risks:** Iran talks stalling after the Qeshm Island strikes would reverse the oil drop fast. Further AI bond supply pushing IG wider. A December hike at 76.3% leaves little room for a hot payrolls print.